

Accounting Equations

Accounting Equations

Lite — Quick Review (1h-1d)

Three minutes on the dual-aspect identity is enough to clear most 2-mark items in CS Executive Accounting.

Assets always equal Liabilities plus Capital. That is the entire foundation of double-entry bookkeeping. Every journal entry, ledger posting, and balance sheet in CS Executive Accounting eventually reduces to this identity, expressed in monetary units (₹).

- $A = L + C$, where A = total assets in ₹, L = total outside liabilities in ₹, C = owner's equity in ₹.
- Expanded form: $A = L + C + (\text{Revenue} - \text{Expenses}) - \text{Drawings}$ (all values in ₹).
- Capital can be solved as $C = A - L$, which is how missing-figure questions are answered.
- Revenue Capital; Expenses Capital; Drawings Capital.

High-Yield Memory Hook: "A L C" — read it aloud as $A = L + C$ (Assets on the left, Liabilities + Capital on the right). For the expanded form, remember RED — Revenue expands capital, Drawings drain it. Pair it with "Every entry has TWO sides" so you never forget the dual-aspect rule.

Standard — Regular Study (2d-2mo)

Core Identity and Its Variants

The accounting equation is the algebraic statement of the dual-aspect concept: every transaction has two equal and opposite effects, so what the business owns must equal what it owes plus what its owners have invested plus retained.

Form Formula Variable Definitions (SI: ₹)

Basic $A = L + C$ A = Assets; L = Liabilities; C = Capital

Expanded $A = L + C + (R - E) - D$ R = Revenue; E = Expenses; D = Drawings

Capital solved $C = A - L$ Used when A and L are given

Closing Capital $C_2 = C_1 + NP - D + X$ C_1 = Opening Capital; NP = Net Profit ($R - E$); D = Drawings; X = Additional Capital introduced

Net Profit $NP = R - E$ Total revenue minus total expenses for the period

Effect Rules on the Equation

- Asset increase debit the asset; balance is maintained by either another asset decreasing, a liability increasing, or capital increasing.
- Liability or Capital increase credit the liability/capital account.
- Revenue is an inflow that increases capital; expenses consume capital; drawings are owner withdrawals that reduce capital (not an expense).

Classification of Items

Transactions fall into four buckets that decide which side of the equation moves:

Capital items — long-term benefit, hit the balance sheet (e.g., machinery purchase).

Revenue items — matched to the current period, hit the income statement (e.g., sales, salaries).

Deferred revenue — received now, earned later current liability until earned.

Deferred expense — paid now, consumed later current asset until consumed.

Exam-Level Worked Problem

A sole trader reports the following on 31 March:

- Cash in hand ₹ 40,000; Stock of goods ₹ 1,20,000; Debtors ₹ 80,000; Furniture ₹ 60,000.
- Creditors ₹ 70,000; Bank loan (short-term) ₹ 50,000; Outstanding salary ₹ 10,000.

Compute closing capital, then verify using the basic equation.

Step-by-step working:

Total Assets $A = 40,000 + 1,20,000 + 80,000 + 60,000 = ₹ 3,00,000$.

Total Liabilities $L = \text{Creditors } 70,000 + \text{Bank loan } 50,000 + \text{Outstanding salary } 10,000 = ₹ 1,30,000$.

Capital $C = A - L = 3,00,000 - 1,30,000 = ₹ 1,70,000$.

Verification: $A = L + C \quad 3,00,000 = 1,30,000 + 1,70,000$.

Convert to expanded form: $A = L + C + (R - E) - D$. With no revenue, expense, or drawings data, $(R - E) - D = 0$, so the equation still balances.

Examiner Trap: Many candidates add outstanding salary to capital as an "income" item, or treat it as a separate asset. Outstanding salary is a liability until paid — including it on the wrong side changes capital by ₹ 10,000 and costs the full mark.

Common Pitfalls in CS Executive Papers

- Recording drawings on the assets side instead of deducting from capital.
- Crediting capital when goods are sold for cash (it should be revenue, not capital infusion).
- Forgetting that every transaction alters at least two accounts — the equation must always balance.

Extended — Deep Study (3mo+)

Edge Cases and Boundary Conditions

The equation behaves predictably for going-concern businesses, but three boundary cases deserve attention in CS Executive numerical sets:

- Solvency check: If $A > L$, capital is positive (solvent). If $L > A$, the business has negative equity — technically insolvent under the Companies Act, 2013 trigger for CIN strike-off.
- Non-monetary contributions: When capital is introduced in kind (e.g., machinery worth ₹ 5,00,000), the asset side rises by the fair value and capital rises by the same amount. Use fair market value, not the seller's claimed value, when computing C.
- Hire-purchase and installment purchases: The asset is recorded at the cash price (not the total installments). The difference is interest suspense, later split between the bank/HP creditor account and an interest expense. Including the full installment value inflates both A and L equally but distorts future depreciation.

Common Examiner-Style Traps

Trap	Why It Fools Students	Correct Treatment
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Goods taken for personal use (₹ 20,000)	Recorded as drawings only	Debit Drawings ₹ 20,000; Credit Purchases/Stock ₹ 20,000
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Depreciation ₹ 15,000 on furniture Treated as cash outflow Debit Depreciation Expense ₹ 15,000; Credit Furniture ₹ 15,000 — no cash movement
Prepaid insurance ₹ 5,000 at year-end Shown as expense only Reduce expense by 5,000 and show the prepaid portion as a current asset
Bad debts recovered ₹ 8,000 (written off last year) Credited to debtor directly Credit Bad Debts Recovered (income), debit Cash/Bank

Connections to Adjacent Topics

- Trial Balance is the listing of all ledger balances; the equation guarantees that total debits equal total credits.
- Balance Sheet is the financial-statement snapshot of the equation at a reporting date.
- Cash Flow Statement starts with net profit (derived from revenue – expenses) and adjusts for non-cash items and working-capital changes — every line reconciles back to the equation.

Advanced Practice Prompts

A partnership firm has total assets of ₹ 12,00,000 and total external liabilities of ₹ 7,50,000. Partner A's capital is ₹ 2,00,000 and the remaining capital belongs to Partner B in the ratio 3:2. Compute B's capital and state how the equation is preserved if B withdraws ₹ 50,000 in cash for personal use.

During the year, the firm earned revenue ₹ 9,00,000, incurred expenses ₹ 6,50,000, and the owner introduced additional capital of ₹ 1,00,000. Opening capital was ₹ 3,00,000 with no drawings. Compute closing capital using the expanded equation and reconcile with the basic identity.

Continue your study

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